Reinsurance Treaty - EX2025001 - 6

Treaty Number:	EX2025001
Cedent:	Example Cedent Inc.
Reinsurer:	Example Reinsurer Corp.
Effective Date:	01 January 2025
Expiry Date:	31 December 2025
Treaty Type:	Proportional

QUOTA SHARE REINSURANCE TREATY

TREATY NUMBER: EX2025001_6

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PARTIES TO THE TREATY

THE REINSURED (Ceding Company):

Example Cedent Inc.

Registered Office: [Address]

Company Registration Number: [Number]

(hereinafter referred to as "the Company" or "the Reinsured")

THE REINSURER:

Example Reinsurer Corp.

Registered Office: [Address]

Company Registration Number: [Number]

(hereinafter referred to as "the Reinsurer")

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PERIOD OF COVERAGE

Effective Date: 00:01 hours GMT on 1st January 2025

Expiry Date: 24:00 hours GMT on 31st December 2025

Basis: Risks attaching during the Period of Coverage

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ARTICLE 1: BUSINESS COVERED

1.1 Classes of Business

This Treaty shall apply to the following classes of business underwritten by the Company:

• Property Damage Insurance (Fire and Allied Perils)

• Commercial Property Insurance

• Industrial All Risks

• Business Interruption Insurance

• Package Policies (Property component only)

1.2 Territorial Scope

All business written or renewed within the following territories:

• United Kingdom

• Republic of Ireland

• Channel Islands

• Isle of Man

1.3 Exclusions from Treaty

The following risks are specifically excluded from this Treaty:

a) Marine and Aviation risks

b) Nuclear risks and radioactive contamination

c) War, terrorism, and political risks (unless specifically covered by market extensions)

d) Cyber risks and data breach liabilities

e) Any risk where the sum insured exceeds GBP 10,000,000 per location

f) Facultative reinsurance placements

g) Business written on a claims-made basis

h) Losses arising from gradual pollution

i) Asbestos-related claims

j) Risks located in territories subject to international sanctions

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ARTICLE 2: RETENTION AND CESSION

2.1 Quota Share Percentage

The Company shall cede and the Reinsurer shall accept **60%** of all business covered under this Treaty.

The Company shall retain for its own account **40%** of all business covered under this Treaty.

2.2 Obligatory Cession

Subject to the terms and conditions herein, the cession of business under this Treaty shall be obligatory on the part of the Company and acceptance shall be obligatory on the part of the Reinsurer.

2.3 Basis of Participation

The Reinsurer shall participate in the same proportion (60%) in:

• All premiums, including additional premiums and reinstatement premiums

• All losses, including loss adjustment expenses

• All return premiums and cancellations

• All salvages and recoveries

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ARTICLE 3: PREMIUM PROVISIONS

3.1 Premium Basis

The reinsurance premium shall be calculated on **100% of the gross written premium** received by the Company for all business covered under this Treaty, before deduction of any taxes, levies, or brokerage.

3.2 Minimum and Deposit Premium

Minimum Annual Premium: GBP 2,500,000

Deposit Premium: GBP 3,000,000 payable as follows:

• 50% (GBP 1,500,000) on 1st January 2025

• 25% (GBP 750,000) on 1st April 2025

• 25% (GBP 750,000) on 1st July 2025

3.3 Premium Adjustments

Premium adjustments shall be made quarterly based on actual written premium. Any balance of premium due shall be settled within 30 days of the quarterly closing.

3.4 Premium Warranty

The Company warrants that the average gross premium rate across the portfolio shall not be less than **0.25%** of the sum insured. Should this warranty be breached, the Reinsurer reserves the right to adjust the reinsurance terms accordingly.

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ARTICLE 4: COMMISSION AND PROFIT COMMISSION

4.1 Reinsurance Commission

The Reinsurer shall allow the Company a **provisional commission of 32.5%** on gross reinsurance premium ceded under this Treaty.

4.2 Sliding Scale Commission

The provisional commission shall be subject to adjustment on a sliding scale basis according to the following loss ratio:

Loss Ratio	Commission Rate
0% - 50%	35.0%
50.01% - 55%	34.0%
55.01% - 60%	33.0%
60.01% - 65%	32.5%
65.01% - 70%	31.5%
70.01% - 75%	30.0%
Above 75%	28.0%

Loss Ratio Definition: (Incurred Losses + Loss Adjustment Expenses) / Net Reinsurance Premium × 100

4.3 Profit Commission

In addition to the sliding scale commission, a profit commission shall be payable to the Company calculated as follows:

Profit Commission = 20% of Underwriting Profit

Where Underwriting Profit is defined as:

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Reinsurance Premium (100%)

LESS: Reinsurance Commission (as per sliding scale)

LESS: Incurred Losses and Loss Adjustment Expenses
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LESS: Reinsurer's Expense Allowance (5%)

= Underwriting Profit

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Maximum Profit Commission: **10%** of net reinsurance premium

## 4.4 Commission Payment Terms

Provisional commission shall be paid quarterly. Final commission and profit commission adjustments shall be calculated and settled within 90 days following the end of the Treaty year, based on the audited accounts of the Treaty.

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# ARTICLE 5: LOSS SETTLEMENTS

## 5.1 Loss Participation

The Reinsurer shall pay to the Company **60%** of each and every loss falling within the scope of this Treaty, including loss adjustment expenses, subject to the terms and conditions hereof.

## 5.2 Loss Advice

The Company shall advise the Reinsurer of all losses as follows:

• **Individual losses exceeding GBP 100,000 (Company's retention):** Within 30 days of notification

• **Individual losses exceeding GBP 500,000 (Company's retention):** Within 15 days of notification

• **Catastrophe losses:** Immediately upon occurrence and estimation

## 5.3 Loss Adjustment Expenses

Loss adjustment expenses shall be included within the scope of this Treaty and shall be shared in the same proportion as losses (60/40).

Loss adjustment expenses include:
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• External claims adjuster fees

• Legal expenses

• Expert fees

• Investigation costs

Internal claims handling expenses of the Company are deemed to be covered by the commission allowance.

5.4 Loss Payments

The Reinsurer shall settle its proportion of losses within **30 days** of receipt of complete loss documentation from the Company.

5.5 Ex-Gratia and Policy Extension Payments

Any ex-gratia payments or settlements outside policy terms require the prior written consent of the Reinsurer for reinsurance recovery. Such consent shall not be unreasonably withheld.

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ARTICLE 6: DEFINITIONS

6.1 Loss Occurrence

For the purposes of this Treaty, all losses arising from one event or occurrence shall be considered as one loss.

An event or occurrence shall be defined as: All individual losses sustained by the Company arising directly or indirectly from one catastrophe or casualty, or series of casualties arising out of one event.

6.2 Hours Clause

With respect to earthquake, flood, windstorm, hail, tornado, or other atmospheric disturbances:

• All such events occurring during any period of **72 consecutive hours** shall be considered as one loss occurrence

• The Company may choose when the 72-hour period commences, provided it is not earlier than the first loss

• Separate periods of 72 hours shall not overlap

6.3 Catastrophe Definition

A catastrophe is defined as an accumulation of losses arising from a single event or series of related events affecting multiple policies within the Treaty portfolio, where the Company's ultimate net loss exceeds GBP 1,000,000.

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ARTICLE 7: SPECIAL CONDITIONS

7.1 Follow the Fortunes

The Reinsurer agrees to follow the fortunes of the Company and shall be bound by all settlements made by the Company within the terms and conditions of the original policies, provided such settlements are made in good faith and within the scope of the Company's underwriting authority.

7.2 Errors and Omissions

Inadvertent errors, omissions, or delays in reporting individual risks or premiums shall not relieve the Reinsurer of liability, nor deprive the Company of any protection under this Treaty, provided such errors or omissions are rectified upon discovery.

This clause shall remain in effect for **12 months** following the expiry of this Treaty.

7.3 Currency

All transactions under this Treaty shall be conducted in **GBP (Pounds Sterling)**.

Where the original currency of a policy or claim is other than GBP, conversion shall be made at the rate of exchange prevailing:

• For premiums: On the date of policy inception or renewal

• For losses: On the date of loss occurrence

• For loss payments: At the rate applied by the Company when settling the original claim

7.4 Offset

The Reinsurer shall have the right to offset any balances due from the Company against any amounts payable by the Reinsurer under this or any other agreement between the parties.

7.5 Insolvency

In the event of the insolvency of the Company, reinsurance recoverable under this Treaty shall be payable directly to the Company or its liquidator on the basis of claims paid or to be paid by the Company without diminution because of the insolvency, subject to the terms and conditions of this Treaty.

The liquidator or receiver shall give written notice to the Reinsurer of the pendency of a claim within a reasonable time after such claim is filed in the insolvency proceeding.

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ARTICLE 8: REPORTING AND ACCOUNTING

8.1 Quarterly Bordereaux

The Company shall provide the Reinsurer with quarterly bordereaux within **45 days** following the end of each calendar quarter, containing the following information:

Premium Bordereau:

• Policy number

• Insured's name

• Period of insurance

• Sum insured

• Gross premium

• Reinsurance premium ceded

• Commission due

Loss Bordereau:

• Claim number

• Policy number

• Insured's name

• Date of loss

• Description of loss

• Gross loss amount paid and outstanding

• Reinsurance recovery

8.2 Annual Statement

Within **120 days** following the expiry of this Treaty, the Company shall provide a full annual statement showing:

• Total gross written premium

• Total reinsurance premium ceded

• Commission calculations (provisional and adjusted)

• All losses paid and outstanding

• Profit commission calculation

• Net balance due to or from the Reinsurer

8.3 Audit Rights

The Reinsurer shall have the right to inspect and audit the Company's books and records relating to this Treaty during normal business hours upon giving **30 days' written notice**. Such audits may be conducted no more than once per year, except in cases of suspected irregularities.

8.4 Cash Call Provisions

In the event of a major loss or catastrophe, the Reinsurer agrees to make cash calls available to the Company within **10 business days** of receiving a properly documented request, subject to a maximum advance of **80%** of the estimated reinsurance recovery.

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ARTICLE 9: PORTFOLIO MANAGEMENT

9.1 Portfolio Withdrawal

Either party may withdraw from this Treaty by giving **90 days' written notice** prior to the expiry date. In the absence of such notice, this Treaty shall automatically renew for successive periods of 12 months on the same terms and conditions.

9.2 Portfolio Transfer on Termination

Upon termination or non-renewal of this Treaty, the Company may elect to:

Option A - Cut-off Basis:

The Treaty terminates for all risks attaching after the expiry date. All risks attaching during the Treaty period remain covered until expiry of the individual policies.

Option B - Portfolio Transfer:

The Company may transfer the entire unearned premium portfolio to a successor reinsurer, with the Reinsurer returning:

• **100%** of unearned premium on the ceded portion

• LESS commission already paid on such premium

• PLUS a portfolio withdrawal fee of **5%** of the unearned premium

9.3 Run-off Provisions

Following termination, the Reinsurer remains liable for all losses occurring during the Treaty period, regardless of when claims are reported or settled. The Company shall continue to provide bordereaux and reports for a period of **36 months** following the final expiry date, or until all claims are settled, whichever is later.

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ARTICLE 10: REINSURANCE SECURITY

10.1 Reinsurer's Credit Rating

The Reinsurer warrants that it maintains a minimum credit rating of **A- (A minus)** from Standard & Poor's or equivalent rating from A.M. Best or Moody's.

Should the Reinsurer's rating fall below this threshold, the Company may require:

• A letters of credit for 100% of the Reinsurer's outstanding liabilities

• Funds withheld arrangement

• Trust account collateralization

• Replacement of the Reinsurer (subject to 90 days' notice)

10.2 Security for Outstanding Balances

The Reinsurer agrees to provide security in an acceptable form for all outstanding loss reserves and unearned premium reserves exceeding **GBP 5,000,000** if requested by the Company, particularly for regulatory or solvency purposes.

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ARTICLE 11: CLAIMS COOPERATION

11.1 Claims Control

The Company retains full authority and control over the handling, defense, and settlement of all claims. However, the Reinsurer shall have the right to:

• Be consulted on claims where the gross loss exceeds GBP 500,000

• Participate in claims investigations

• Appoint loss adjusters at its own expense

• Attend settlement negotiations

11.2 Legal Proceedings

The Company shall notify the Reinsurer of any legal proceedings where the potential recovery exceeds GBP 250,000 (gross). The Reinsurer may participate in such proceedings at its own expense.

11.3 Salvage and Subrogation

All salvage and subrogation recoveries shall be shared in the same proportion as the original loss (60/40), after deduction of recovery expenses.

The Company shall use reasonable efforts to pursue salvage and subrogation opportunities. Expenses incurred in such pursuits shall be shared in the Treaty proportion.

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ARTICLE 12: SPECIAL PROVISIONS

12.1 Catastrophe Reporting

In the event of a catastrophe as defined in Article 6.3, the Company shall provide:

• **Immediate notification** to the Reinsurer

• **Preliminary estimate** within 72 hours

• **Revised estimates** every 30 days until finalized

• **Detailed loss listing** within 90 days

12.2 Reinstatement

This Treaty provides for **unlimited automatic reinstatement** of capacity following any loss occurrence. No reinstatement premium shall be charged.

12.3 Cancellation Clause

Original policy cancellations shall be handled as follows:

• **Flat cancellations** (before risk inception): 100% return of premium

• **Short-rate cancellations** (at insured's request): Return premium calculated per original policy terms

• **Pro-rata cancellations** (all other): Pro-rata return of premium

All cancellation returns shall be shared in the Treaty proportion (60/40).

12.4 Adjustment of Premium Rates

If market conditions change significantly, or if the Company's underwriting results deteriorate materially, either party may request a review of the commission rates and other financial terms. Such review shall be conducted in good faith with adjustments effective from the next quarterly anniversary.

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ARTICLE 13: ARBITRATION

13.1 Arbitration Clause

Any dispute, controversy, or claim arising out of or relating to this Treaty, or the breach thereof, shall be settled by arbitration in accordance with the following provisions:

Seat of Arbitration: London, England

Governing Rules: Arbitration Act 1996 of England and Wales

Number of Arbitrators: Three (3)

Appointment Process:

• Each party shall appoint one arbitrator within 30 days of written notice

• The two appointed arbitrators shall appoint a third arbitrator (Umpire) within 30 days

• If any party fails to appoint an arbitrator, the appointment shall be made by the President of the Chartered Insurance Institute

13.2 Arbitration Procedures

• All arbitrators shall have at